

Operator

Ladies and gentlemen, good day and welcome to the Q2 FY14 Earnings Conference Call of Emami Limited, hosted by Anand Rathi Research. As a reminder, for duration of the conference all participants' line are in listen-only mode and there will be an opportunity for you to ask question at the end of today's presentation. . Please note that this conference is being recorded. I would now like to hand over the conference over to Mr. Aniruddha Joshi. Thank you and over to you sir.

Aniruddha Joshi, Analyst

Thanks Chidresu. On behalf of Anand Rathi Research we welcome you all on the 2Q FY14 Results Conference Call of Emami Limited. We have senior management of Emami with us. Mr. Mohan Goenka, Director and Mr. Rajesh Sharma, VP Finance, Accounts and Investor Relation. Now I hand over to Mohan for his comments on the quarterly performance. Thanks and over to you sir.

Mohan Goenka, Wholetime Director

Thanks Aniruddha and very good evening friends. I welcome you all to this conference call on the second quarter results of Emami Limited. The turnover was at 407 crores in this quarter, which grew by 12.8%. EBITDA at INR87 crores grew by 36.3%. And PAT at INR80 crores grew by 35.1% over the corresponding quarters in the previous year.

Considering moderation in the growth of FMCG sector, Emami has achieved a satisfactory top line growth. Our market share however has strengthened in most of the categories that we are present backed by volume growth of 6% in the quarter.

International business has also performed well with 27% top line growth led by aggressive growth in GCC and SAARC. Easing of input prices coupled with strong cost optimization measures have resulted in margin expansion.

Our gross margins continue to improve year-on-year for the fifth consecutive quarter. Gross margins at 63.2% improved by 460 basis points year-on-year in the second quarter. This gross margin expansion was led primarily on account of reduction in the prices of menthol. Our staff cost and other expenses however increased by 90 basis points and 130 basis points year-on-year respectively whereas advertising expenses decreased by 130 basis points in this quarter.

EBITDA margins at 21.5% in quarter two and 18.5% in first half expanded by 370 basis points and 270 basis points respectively. Net margins at 19.7% and 17.8% in quarter two and first half, increased by 330 basis points and 270 basis points respectively.

Domestic business performed reasonably well, despite early monsoons, a setback for our summer brands. Overall our domestic sales grew by around 11%. Boroplus Antiseptic Cream grew by 30% during this quarter, Fair and Handsome grew by 20%, Navratna Oil grew by 6% and balms -- whereas balm sales were flat during the quarter. Healthcare Division comprising of OTC, Ethical and Generic products continued to perform well, registering a strong growth of 28% during the quarter. Zandu Pancharishta continues to do well.

The modern trade business grew by 35% during the quarter and the rural -- the direct rural business registered a growth of 17%. International business grew by 27% in this quarter; the growth was led by Middle-East and SAARC region. The CSD sales grew by 14% during the quarter. With lower growth during first half, which has resulted mainly due to early and prolonged monsoons slower movement of balms and continuous sluggish macro environment situation, we lower revenue growth guidance for the year 13% to 15%, whereas we maintain our bottom line growth guidance of over 20%.

With this, I now open the Q&A and invite the questions. Thank you.

Questions And Answers**Operator**

Thank you very much sir. We will now begin the question-and-answer session. . First question from the line of Ruchi Vora from UBS. Please go ahead.

Ruchi Vora, Analyst

Hi, Mohan, how are you?

Mohan Goenka, Wholetime Director

Good.

Ruchi Vora, Analyst Mohan Goenka, Wholetime Director

Good evening, Ruchi.

Ruchi Vora, Analyst

Yeah, hi.

Mohan Goenka, Wholetime Director

So, some of the key brands, the Navratna Oil.

Ruchi Vora, Analyst

Yeah.

Mohan Goenka, Wholetime Director

Yeah, the value growth we have just discussed and the volume growth has been roughly 3%.

Ruchi Vora, Analyst

Okay.

Mohan Goenka, Wholetime Director

For the cooling oil.

Ruchi Vora, Analyst

Yeah.

Mohan Goenka, Wholetime Director

Yeah. And for Boroplus, the volume growth was roughly about 28%. And this is primarily due to the loading, pre-season loading.

Ruchi Vora, Analyst

Yeah There the balm sales were down by roughly 5% in volume terms. And in volume terms they were flat.

Ruchi Vora, Analyst

Correct.

Mohan Goenka, Wholetime Director

And...

Ruchi Vora, Analyst

Fair and Handsome?

Mohan Goenka, Wholetime Director

Fair and Handsome, the volume growth is roughly 9% and value growth is about 20%.

Ruchi Vora, Analyst

Okay. And can you also give us some update on what's happening on market share for each of these brands?

Mohan Goenka, Wholetime Director

The market shares, we have in fact Fair and Handsome, we have gained market share in this quarter. Our market share has gone up from 56% to 59% in this quarter.

Ruchi Vora, Analyst

You mean sequentially it's gone up?

Mohan Goenka, Wholetime Director

Yeah, sequentially, no, from last year July, September to this year.

Ruchi Vora, Analyst

Okay.

Mohan Goenka, Wholetime Director

And sequentially it has gone up by only a percent.
Okay.

Mohan Goenka, Wholetime Director

But from last year it has gone up by 3%.

Ruchi Vora, Analyst

Right.

Mohan Goenka, Wholetime Director

In balms, our market shares have not gone up, it is flat, so same.

Ruchi Vora, Analyst

Yeah.

Mohan Goenka, Wholetime Director

In Boroplus though the season had not started, but in the first half our market share has gone up from 73% to 77%. And Navratna Oil, we haven't received the figures for Navratna Oil as of now.

Ruchi Vora, Analyst

Okay. And my next question is really on the category growth for Balm and Navratna Oil, it's come off the, I do understand it's also a function of seasonality, but as far as the Balm is concerned, we understood that it's largely a non-discretionary category. So just wanted your sense on what's really happening in that segment and if you can give us some color on what's also happening on the market etcetera? And how do we look at future growth outlook for these two brands?

Mohan Goenka, Wholetime Director

So, balm, see, I think one of the reasons why balm has not done well, one was of course, Maharashtra area where there was an issue of LBT, that has now -- that is over, but after that when we increased our prices some INR25 to INR27 we have seen a bit of a decline.

Ruchi Vora, Analyst

Right.

Mohan Goenka, Wholetime Director Ruchi Vora, Analyst

So is there any internal expectation on a growth target for the balm category that you have and also for Navratna Oil?

Mohan Goenka, Wholetime Director

See for the year we have taken a target of 10% growth.

Ruchi Vora, Analyst

Okay.

Mohan Goenka, Wholetime Director

So maybe it can come off by 2% here and there. But we are confident of achieving at least 7%, 8% growth on balms.

Ruchi Vora, Analyst

Okay. And just last question on...

Mohan Goenka, Wholetime Director

But also in balms it is Mentho Plus which is still growing at 5%, 6% which is Zandu Balm because of the price increase, we have seen a minus of about 8%.

Ruchi Vora, Analyst

Okay. And just last question on the pricing bit, how do you look at pricing especially pre-winter season and also can you throw some color on what's the road map for new product launches?

Mohan Goenka, Wholetime Director

So pricing whatever increase we had to take, we have already taken. There is no further price increase.

Ruchi Vora, Analyst

Which should be about what 4% annualized?

Mohan Goenka, Wholetime Director

Yeah. Annualized it would be about 4%.
Okay.

Mohan Goenka, Wholetime Director

Yeah. So there are no further price increases.

Ruchi Vora, Analyst

For FY '14?

Mohan Goenka, Wholetime Director

Yeah, for FY'14.

Ruchi Vora, Analyst

Okay, on new product launches.

Mohan Goenka, Wholetime Director

New product, we have just launched Boroplus Face Wash in this quarter, just last month. So we have to see and we have further lined up some new launches in the fourth quarter.

Ruchi Vora, Analyst

Okay.

Mohan Goenka, Wholetime Director

So, we have to wait to see what are those launches.

Ruchi Vora, Analyst

Okay. Thanks very much. And all the best.

Mohan Goenka, Wholetime Director

Thank you.

Operator

Thank you. Next question from the line of Abneesh Roy from Edelweiss. Please go ahead.

Sir, congrats on very good set of numbers. We are seeing a very sharp gross margin expansion. So how is the competition reacting, are they offering more menthol, so Extra Thanda, or are they cutting price? So, because such a sharp margin expansion really means that competition might start looking at price cuts.

Mohan Goenka, Wholetime Director

No, we have not seen any price cut as far our competitions are concerned. And because being leaders in the category, we are not really, we have never gone into the pricing strategy if you would see. That's not our strategy. So we would keep these prices and if anything happens in competition then we would react accordingly. But we have not seen anything at this point I would say.

Abneesh Roy, Analyst

Sir, this quarter surprisingly had spend, you managed to save around 125 bps Y-o-Y and volume growth was a bit soft. So, could we not have pumped in more ad and promo to get maybe three, four percentage extra volume or that was not possible?

Mohan Goenka, Wholetime Director

It is not so simple. Honestly, because the environment is so sluggish and it is monsoon all around, so, the feedback we got from the market that this is not the right time to spend money because consumers and the overall market feedback was not very positive. So, it's better to save some money for future investments. Once we see that markets are conducive for investment, we would definitely put in money. It's absolutely, the season is unfriendly, honestly if you ask me.

Abneesh Roy, Analyst

Sir, how are you seeing now the coming weeks or maybe coming months monsoon is more or less definitely behind us. And on the other hand the strong monsoon means more money in the hands of the farmer. So, are you still attributing the slow down more to -- now are you attributing that to the overall GDP slowdown if at all?

Mohan Goenka, Wholetime Director

No, I think the macro environment is not very favorable at this point of time because monsoon, I'm sitting in Calcutta and for the last four days it is raining. So, but overall even in India you have seen depression in Eastern India and now it is in Southern India. So, overall the markets have still not, even for the winter season the market has not started as yet. So, once the season start, I will be able to give some more better answer. But at this point of time, we have yet to see a good market honestly if you ask me.

Abneesh Roy, Analyst

Sir, my next question is on the innovation which you have done in Cool Talc in the U.P. and Bihar. How that's doing and any plans to take it to other parts of -- the other BIMARU states or maybe pan India?

Navratna Cool Talc is available across India, or you mean the Navratna Extra Thanda Cool Oil is it?

Abneesh Roy, Analyst

The sachet. The sachet which you have, yes, the sachet, U.P. and Bihar which you have mentioned in the presentation.

Mohan Goenka, Wholetime Director

Right. So we, presently we don't have any plans, we will stick to these two markets only.

Abneesh Roy, Analyst

Why is that sir?

Mohan Goenka, Wholetime Director

Because that's a strategic brand for our competition. So we would keep in those particular markets only.

Abneesh Roy, Analyst

Sir, on the recent innovation which you just mentioned also the face wash, you are targeting a niche positioning there. But overall it's a hypercompetitive category with many MNCs and Indian companies. In the past we have tried some of these categories and normally we would like to be in categories in which we have a right to win. So in that context how you plan to succeed in face wash?

Mohan Goenka, Wholetime Director

So face wash is also a strategic move because we want to ride on the brand Boroplus and Boroplus is a popular brand as far as the antiseptic is concerned. So there are a set of loyal consumers who want some bit of an expansion in brands.

Abneesh Roy, Analyst

Right.

Mohan Goenka, Wholetime Director

So it's just a logical extension on Boroplus. We just want to ride on the brand Boroplus.

Abneesh Roy, Analyst

Sir, lastly on the balm, you spent some time on dwelling into the details. But has the category seen, we have seen around 5% decline in terms of volumes. How has the category growth been and we have discussed this earlier that, in terms of product we have some kind of a gap. So are you looking at overcoming the product gap also?

No, the category also has declined in this quarter by roughly about 3.5%, 4%. So we will have to wait and watch because it, again we are the market leaders in this category and we have to drive the category. So I think it is to do with pricing as I just said. Let there be a stability in pricing, then I think the markets should go up.

Abneesh Roy, Analyst

And sir this pricing competition hasn't taken this pricing, is that the case?

Mohan Goenka, Wholetime Director

No, Amrutanjan has not taken up the price.

Abneesh Roy, Analyst

Okay, right. Okay sir, thanks and all the best.

Mohan Goenka, Wholetime Director

Thank you.

Operator

Thank you. Next question from the line of Shazia Naik from Anavaran Investments. Please go ahead.

Shazia Naik, Analyst

Hello sir, thanks for taking my question. I just wanted a sense on the number of direct outlets now or the target going ahead, the proportions of sales and per store basis change on these, revenues from these outlets?

Mohan Goenka, Wholetime Director

Sorry, your second question was?

Shazia Naik, Analyst

Sir, everything is related to number of direct outlets, basically the numbers, proportion of sales from these in the current quarter currently and the revenues from these, change in revenues from these are now year-on-year basis on a per store basis.

Mohan Goenka, Wholetime Director

Our direct reach is about 6 lakh outlets.
Okay.

Mohan Goenka, Wholetime Director

Yeah and sorry, how much do we get, how much do we sell in these direct outlets, is it?

Shazia Naik, Analyst

Yes. Proportion of sales coming from these?

Mohan Goenka, Wholetime Director

Okay.

Shazia Naik, Analyst

Direct outlets.

Mohan Goenka, Wholetime Director

No, that figure I would not have, Shazia.

Shazia Naik, Analyst

Right now. Okay.

Mohan Goenka, Wholetime Director

Yeah.

Shazia Naik, Analyst

Sir, then I'll take it offline. So the second question would be advertising costs on -- as a percent of sales has gone down in this quarter, but in view of new launches coming ahead, do we see these as a percentage going up and what is the outlook on this?

Mohan Goenka, Wholetime Director

No, percentage would not go up, that is already been covered. I think the advertising expenses would be in the tune of about anywhere between 16% to 17% for the year.

Shazia Naik, Analyst Mohan Goenka, Wholetime Director

For next year?

Shazia Naik, Analyst

Yeah.

Mohan Goenka, Wholetime Director

The next year also it would be in the similar range.

Shazia Naik, Analyst

In the similar range.

Mohan Goenka, Wholetime Director

Yeah.

Shazia Naik, Analyst

All right. And sir, in terms of raw material if I am looking at the break up of raw material cost, what would be the contribution from menthol and your liquid paraffin and all, can we have a break up if possible?

Mohan Goenka, Wholetime Director

Now because menthol prices have come off, I think it's the contribution of menthol is roughly about 15% or so.

Shazia Naik, Analyst

Okay.

Mohan Goenka, Wholetime Director

Yeah.

Shazia Naik, Analyst

Okay. It's mainly because of this also many other factors?

Mohan Goenka, Wholetime Director Shazia Naik, Analyst

Yeah that is why I was actually asking. Okay, thanks sir. That would be it from my side.

Mohan Goenka, Wholetime Director

Thank you.

Operator

Thank you. Next question from the line of Arnab Mitra from Credit Suisse. Please go ahead.

Arnab Mitra, Analyst

Mohanji, congrats on a great set of numbers on the bottom line. So its firstly just coming back to the question on balms, if you could just tell us when this hike of price was taken from 25 to 27 and the rationale behind it given the kind of gross margin you already have, what was the rationale behind actually taking the price increase?

Mohan Goenka, Wholetime Director

So this we -- this price hike was done in the month of August end. So now the product what is in the market is of new pricing. And as we have said, see these, we take a price rise every year. So it is in terms of our past trends.

Arnab Mitra, Analyst

Right. And so, what you are saying is the flow through of the price increase will come into the third quarter because if you would have taken it towards the end of last quarter?

Mohan Goenka, Wholetime Director

Right.

Arnab Mitra, Analyst

Right. And in terms of trends in October...

Mohan Goenka, Wholetime Director

This is from 25 to 27 it's slightly unfriendly, so we have to give some time for consumers and even the trade to digest.

Arnab Mitra, Analyst

Right.
Sum of the coinage. Because 25 was a good price point.

Arnab Mitra, Analyst

Right. And in terms of, I mean, you said, you are hoping for a pick up, but in October have you seen some pick up in from the flattish kind of levels that you were in September or it will take some more time for that growth to pick up in the balms?

Mohan Goenka, Wholetime Director

In the first three weeks we have seen some good momentum for Zandu Balm. Mentho Plus has always been, alright if I give up break up of Mentho Plus and Zandu, the Mentho Plus is doing much better because there was no price change in Mentho Plus pain balm. So, only the problem is with Zandu Balm.

Arnab Mitra, Analyst

Right, right. And just one question in the overall earnings growth because you've done almost 30% plus in the first half. Is your

guidance of 20% for the full year not very conservative given the fact that you said that ad spends also likely to remain in this range and sales growth also might pick up a little bit. So, is the 20% number not a very conservative number given what already has happened in 1H?

Mohan Goenka, Wholetime Director

No, I'm -- we will have to see because as I said the winter has not yet started. And our profits mostly come in the second half. So, we will have to see the season. But as far as our gross margins are concerned, I think that we will be able to maintain at about 60% or so. But I'm not very sure about the bottom line honestly if you ask me.

Arnab Mitra, Analyst

Right. And just one last question, the international business, how has been the progress in Bangladesh in terms of firstly, production from the facility in terms of what brands you are producing, and secondly in terms of run rate annualized if you say what kind of turnover can Bangladesh give in this, on an annualized basis now?

Mohan Goenka, Wholetime Director

As of now we are producing two brands, one is Fair and Handsome and the another is Navratna. So, Bangladesh, I think total contribution from Bangladesh would be about 25% to 27%.

Arnab Mitra, Analyst

Of the international business?

Mohan Goenka, Wholetime Director Arnab Mitra, Analyst

Okay. Okay, thanks so much. That's it from my side.

Mohan Goenka, Wholetime Director

Thank you, Arnab.

Operator

Thank you. . Next question from the line of Panthaki from IIFL. Please go ahead.

Percy Panthaki, Analyst

Hi, sir. Congrats on a good set of numbers. My first question is on the winter portfolio, basically your sales, your products are sort of sensitive to the season last year was a good season for winter, it started early and went on till date, so the number of months covered was longer. Now, if we assume that this year there is a normal winter not a prolonged winter and considering your high base plus slow economic environment. In these circumstances, what kind of sales growth do you think you can manage on your winter portfolio?

Mohan Goenka, Wholetime Director

I would be happy with the 10% growth.

Percy Panthaki, Analyst

Okay. In which case, wouldn't your sales growth for the full year be lower than the 13% to 15% you are guiding, because your first half has been 13 and if your major portion of the second half is less than 13 then?

Mohan Goenka, Wholetime Director

If the situation is what you are saying and if it is really a bad situation, then I would be happy with that 10% growth.

Percy Panthaki, Analyst

No I am not saying bad situation, I am saying considering a normal winter and considering the economic environment as it is visible today, in that case?

Mohan Goenka, Wholetime Director

Then I am very confident we will be able to do a 13% growth.

Percy Panthaki, Analyst Mohan Goenka, Wholetime Director

The only possibility is acquisitions, but at this point of time there isn't enough opportunities.

Percy Panthaki, Analyst

Right. So you would keep the cash, you would not consider a special dividend or something of that sort?

Mohan Goenka, Wholetime Director

That we haven't decided as of now what we will do.

Percy Panthaki, Analyst

Okay, sir. And my last question again on the balms. Basically, balms is again a problem solution kind of market where earlier we were of the view that economic slowdown generally does not affect the sales of problem solution kind of products. But of course partially due to the price hike and may be due to weak climate also the balms portfolio is a little bit slow. So is there any sort of rethink on that problem solution aspect of the product portfolio being sort of less vulnerable to an economic slowdown?

Mohan Goenka, Wholetime Director

Not really, because I have not seen as I said the similar trend in Mentho Plus. If that would had been in Mentho Plus, then I would have thought what you are saying. But I understand it is a purely price led decline you know.

Percy Panthaki, Analyst

So, overall I mean let's say over last four, five years, at an industry level what has been the average growth rate for balms?

Mohan Goenka, Wholetime Director

In four five years average growth has been about 15% to 16%.

Percy Panthaki, Analyst

In value terms

Mohan Goenka, Wholetime Director

Yeah, in value terms.

And you think that once the sort of poor economic climate is, I mean that overhang is gone and plus the price increase is digested,

we can go back to a 15% kind of number?

Mohan Goenka, Wholetime Director

I think more than economic climate in this particular category, it is more of the seasonality.

Percy Panthaki, Analyst

Okay.

Mohan Goenka, Wholetime Director

Yeah. Because we are really, the season is not in our favors.

Percy Panthaki, Analyst

Okay. That's all from me, sir. Thank you very much.

Mohan Goenka, Wholetime Director

Thank you.

Operator

Thank you. Next question from the line of Prakash Kapadia. Please go ahead.

Prakash Kapadia, Analyst

Thanks for taking my question. Congratulations on very good margins. Sir, two three questions, it's been I think three years since we have launched extra cooling oil. Has it met expectations and typical, price difference between Navratna cooling oil and Extra Thanda Oil and to penetrate further into the category, any sense if you could give us on extensions or women offerings, that is the first question on Navratna cooling oil.

On Navratna talcum powder, sir, some sense in South India potential and anything we are doing to break the seasonality barrier. And thirdly sir, if you could give us some sense on Fast Relief ointment category, we've not been able to gain market share. Are we defocusing in that despite the relaunches and multiple brand ambassadors. So if you could give us some sense.

Mohan Goenka, Wholetime Director

So Navratna Extra cooling, we have definitely exceeded our expectations.

Prakash Kapadia, Analyst Mohan Goenka, Wholetime Director

Yeah, absolutely because the growth of Navratna has been led by Navratna Extra Thanda.

Prakash Kapadia, Analyst

Okay.

Mohan Goenka, Wholetime Director

And the price for both the products are same.

Prakash Kapadia, Analyst

Okay.

Mohan Goenka, Wholetime Director

From Navratna existing product and extra cooling also.

Prakash Kapadia, Analyst

Okay.

Mohan Goenka, Wholetime Director

Yeah and going forward, see again because Extra Thanda, we will depend on the seasonality, but I am sure the penetration of Extra Thanda is only in few markets. We haven't launched it across India.

Prakash Kapadia, Analyst

Okay, okay. So it won't be again the North...

Mohan Goenka, Wholetime Director

Yeah, so once if we plan to take it all India, then we would see a bigger market for this.

Prakash Kapadia, Analyst

Okay, okay.

Mohan Goenka, Wholetime Director

And as far as Navratna Talc is concerned, yeah, this is mostly a North India based product and South India we haven't really put efforts, so much efforts in South India. So that is a market we are seeing that what can we do in South India for Navaratna Cool Talc. There what we have seen is that the preferences are somewhat different from North India. So we have to think different for South. And Fast Relief, yeah I would agree it's a challenge and we haven't gained market share in this particular category. So we will have to relook at the strategy for Fast Relief.

Prakash Kapadia, Analyst

Okay. And sir any women offerings in cooling oil or anything planned or there is much to be done still in the main categories so that's not focus area or --?

Mohan Goenka, Wholetime Director

That would be difficult for me to answer, but I think for next year we are only waiting for a favorable season, that's all.

Prakash Kapadia, Analyst

Okay. And sir, if you could give us some sense on outlook on Menthol prices, because they have been pretty favorable for us, so what is your sense on the sustainability of these pricing and are we building inventory given the favorable prices or how much inventory do we hold?

Mohan Goenka, Wholetime Director

So we have -- as I had said, we are covered for the year and the prices are still on the downwards trend. So current prices are in the tune of about 11, 11.50. And I am hopeful that these prices are stable for the last six, eight months now. Right, they have been pretty stable. So even at these levels we are confirmable, but prices are on the downward trend.

Prakash Kapadia, Analyst

Okay. And sir, one thing for Rajesh. Rajesh, if we look at the other expenditure it is gone up 22%. So is it looking skewed because of lower sale growth or is there some one-offs, or is it increase in freight cost if you could give us some sense on other expenditure?

Mohan Goenka, Wholetime Director

Other expenses has gone up primarily because of lower sales, because we have invested behind the infrastructure cost, we have kept good people, strengthened our R&D marketing and international business team. So the associate cost is also there. And also we had taken some provisions for our distributed sales liabilities. So there are some sales tax disputes in some parts for which we are provided for this quarter.

Prakash Kapadia, Analyst

Okay, okay. Fine, okay. Thank you, all the best.

Mohan Goenka, Wholetime Director Operator

Thank you. . Next question from the line of (inaudible) from CIMB. Please go ahead.

Unidentified Participant

Yeah, hi. Thanks for the opportunity. Sir, my first question was on the innovation pipeline, if we take slightly longer term view, say next 12 months to 18 months, how does that look vis-a-vis last two, three years because last two, three years we have done a very commendable job on introducing new products. So obviously you will keep the season in mind and maybe diameter slightly better, but is the innovation funnel as strong as it was in the last couple of years?

Mohan Goenka, Wholetime Director

So, in fact in the last three years, we haven't launched too many new brands. But going forward within the next three years to five years or say three years, we have a very strong pipeline of new products. So definitely you would see some very exciting launches going forward.

Unidentified Participant

Yeah, because last couple of years you have been doing more of brand extensions and all. And our understanding was that probably say next 6, 12 months it would be more of the same, we'll be looking to extent in brands like Boroplus as you just mentioned about face wash and all. But say, introducing new brands and new categories you said, seems like over next two years to three years, we should be seeing more of that?

Mohan Goenka, Wholetime Director

No so, what I mean is even the innovation would be more in the brand extensions not necessarily new brands over the next 12 months. Yeah, 12 months or two years to three years, longer term horizon.

Unidentified Participant

Okay.

Mohan Goenka, Wholetime Director

But even in the last two, three years we haven't done too many extensions also. We were focusing on the existing products.

Unidentified Participant

Okay. Yeah, and sir in terms of the gross margin outlook, obviously Menthol has been very favorable. But (inaudible) has started moving up and probably packaging cost would have moved up a bit. So at a blended basis, you think it would be difficult for these gross margins to sustain or like are these the peak gross margins and we could see some moderation in second half itself? No, at least for this year as I said we are covered.

Unidentified Participant

But that's only on menthol, but other raw materials...

Mohan Goenka, Wholetime Director

No, overall I think the prices are not going up because this is already October. So, we have got the sense. I think gross margins should be anywhere between 60%, 62%.

Unidentified Participant

And sir, on Fair and Handsome, I was seeing the difference in terms of volume growth and value growth, like 9% and 20%.

Mohan Goenka, Wholetime Director

Right.

Unidentified Participant

Like you said, why is it so? Why it like, what was the price hike in this plan and has the mix shifted from sachets to bigger SKU, is that a reason?

Mohan Goenka, Wholetime Director

No, we have taken the price increase for Fair and Handsome in almost all the sizes.

Unidentified Participant

To what extent, like how much was the price increase?

Mohan Goenka, Wholetime Director

Yeah. So it's in the range of about 10%, 11%.

Unidentified Participant

Okay. So the mix between sachets and the bigger --?

Mohan Goenka, Wholetime Director Unidentified Participant

Okay.

Mohan Goenka, Wholetime Director

Still, it is the same.

Unidentified Participant

Okay. And sir, just on the international growth, if you could give some sense on how CIS and Africa have done? Like you said, growth was led by GCC and SAARC, but if you could give some break-up of this region-wise growth rates and international?

Mohan Goenka, Wholetime Director

So, yeah. Yeah, so in GCC, the growth has been almost -- yeah, we have doubled in this particular quarter in GCC. But CIS, we have almost seen a de-growth of about 20%.

Unidentified Participant

Okay.

Mohan Goenka, Wholetime Director

Yeah. And in SAARC, yeah, SAARC is basically Bangladesh. Bangladesh growth was about 25%.

Unidentified Participant

Okay. Yeah. And Africa?

Mohan Goenka, Wholetime Director

Africa, just a minute. Africa, there was a de-growth of about 15%.

Unidentified Participant

Okay. And sir, CIS is still that Boroplus issue?

Mohan Goenka, Wholetime Director

Yeah, it is the Boroplus issue. We have not been able to do anything on that.
Okay. Okay.

Mohan Goenka, Wholetime Director

But that, we are not focusing also too much. I think, we are focusing more on Bangladesh and this area.

Unidentified Participant

Okay. Okay, sir. That's it from my side. Thanks and all the best.

Mohan Goenka, Wholetime Director

All right. Thank you, Gaurav [ph].

Operator

Thank you. Next question from the line of Manish Jain from Nomura. Please go ahead.

Manish Jain, Analyst

Mohanji, congratulations on a good set of number, sir.

Mohan Goenka, Wholetime Director

Yeah, Manish.

Manish Jain, Analyst

Sir, I had a simple question for Rajesh. Rajeshji, the other income in this quarter has gone up almost played by a 40 Y-o-Y. Why is this and what are the major components of this other income, if you could just throw some light on it?

Rajesh Sharma, Associate Vice President- Accounts & Finance

Sir, the major components of other income is interest income and income from the liquid investments.

Manish Jain, Analyst

Okay.

Rajesh Sharma, Associate Vice President- Accounts & Finance

And this quarter, it also includes around 2, 2.5 crores of income from some insurance claim, standard claims. Okay.

Rajesh Sharma, Associate Vice President- Accounts & Finance

So which happened last year, but we have received the claim this year.

Manish Jain, Analyst

Okay, okay. So that's...

Mohan Goenka, Wholetime Director

So, that's the counter this year, this quarter.

Manish Jain, Analyst

Okay, so that is why it looks a bit...

Mohan Goenka, Wholetime Director

Yeah, yeah, so couple of, two crores kind of thing is also because of that.

Manish Jain, Analyst

Fine sir, fine sir. Okay.

Operator

Thank you. . Next question from the line of Hitesh Godhani from Span Capital. Please go ahead.

Hitesh Godhani, Analyst

Hello. Congrats for the good set of numbers. And sir my first question is regarding our power brands which you mentioned, how much they are contributing to the overall revenue? And how much growth rate can we expect over next two to three year from your, these focus brand?

Mohan Goenka, Wholetime Director

So, these four power brands contribute roughly about 65% of our revenue.

Hitesh Godhani, Analyst

Okay.
And see our guidance is 13%, 15% for this year. And if market is conducive and good then our numbers are anywhere between 16% to 18% top line. So, if -- then these power brands have to contribute anywhere between 15% to 16% top line growth.

Hitesh Godhani, Analyst

15 to 16 top line growth?

Mohan Goenka, Wholetime Director

Yeah.

Hitesh Godhani, Analyst

Okay. And sir, any CapEx plans over next two years or it will just maintenance CapEx?

Mohan Goenka, Wholetime Director

We are coming up with the new facility in Guwahati, so that will entail an investment of roughly about 50 crores to 60 crores.

Hitesh Godhani, Analyst

50 crores to 60 crores?

Mohan Goenka, Wholetime Director

Yeah, so for next two years I think our CapEx would be anywhere between 70 crores to 75 crores each year.

Hitesh Godhani, Analyst

70 crores to 75 crores each year?

Mohan Goenka, Wholetime Director

Yeah.

Hitesh Godhani, Analyst

Okay. Thank you, thank you for answering the question.

Operator Unidentified Participant

Yeah. Hi, sir. I'm sorry I missed the growth numbers on the international division, if you could just repeat that, what is it for GCC and SAARC?

Mohan Goenka, Wholetime Director

GCC has doubled, so it's about 100%. And Bangladesh the growth is roughly about 25% and CIS is down 20% and Africa is down about 15%.

Unidentified Participant

Okay. And is there any currency benefit in the overall growth numbers of international division?

Mohan Goenka, Wholetime Director

Yeah, there has been a currency benefit of roughly about 10%.

Unidentified Participant

Okay. And lastly if you could just throw some light in what is your rural and urban growth rate?

Mohan Goenka, Wholetime Director

Our domestic business grew at about 11%, so the rural growth has been slightly higher, but not significantly different on the stage.

Unidentified Participant

And which would be?

Mohan Goenka, Wholetime Director

So, urban growth for roughly about 8% and rural growth would be slightly higher it about 11%, 12%.

Unidentified Participant

Okay, you haven't done any reach expansion this quarter, direct reach expansion?

Mohan Goenka, Wholetime Director

Yeah, we have done, so it is about 20,000 new outlets we have added in this particular quarter. And you will maintain the same run rate going forward or you may probably increase that?

Mohan Goenka, Wholetime Director

For the year, we have planned anywhere between 75,000 to 1 lakh new outlets, and I think we will be able to achieve these numbers.

Unidentified Participant

Fine. Thank a lot, sir, and all the best.

Mohan Goenka, Wholetime Director

Thank you.

Operator

Thank you. Next question from the line of Ruchi Rudra [ph] from Motilal Oswal. Please go ahead.

Unidentified Participant

Good evening, sir. Sir, just two questions. One is, can you give me your volume growth for that domestic business as well as for Emami as a whole? And second question is with the International business. Sir, could you just give me a fair idea about the margin difference between the International and domestic business, especially that if you've seen lot of staff hiring in the past few quarters in the International business?

Mohan Goenka, Wholetime Director

Margins from more or less same. Margins in International is slightly lower than domestic, but not significantly different.

Unidentified Participant

Okay.

Mohan Goenka, Wholetime Director

And sorry, what was your first question?

Unidentified Participant

I asked the volume growth for domestic business and consolidated?
Domestic business value growth was 11% and volume growth was 6%.

Unidentified Participant

Okay.

Mohan Goenka, Wholetime Director

And overall our growth was 13% for the quarter value growth and volume growth for 6%.

Unidentified Participant

Okay. Thank a lot, sir.

Mohan Goenka, Wholetime Director

Thank you.

Operator

Thank you. Next question from the line of Nitin Mathur from Espirito Santo. Please go ahead.

Nitin Mathur, Analyst

Yeah, Mohanji, hi. Thanks for taking my question and congratulations on a great set of numbers. My first question is with regards to your M&G strategy. Now, recently there were some media reports about your acquisition buzz in Philippines. So can you just enlighten a bit more about and if the strategy has changed over a period of time. If there is any new region that you are looking to enter?

Mohan Goenka, Wholetime Director

See we are continuously looking for acquisitions because we have good war chest, but our strategy has not changed. We are still India focused. We look at every opportunity what comes to us so that's about this particular opportunity. I can't really speak anything specific on any opportunities.

Nitin Mathur, Analyst

Sure, fair enough. Second regarding your Africa business if I hear you correctly, you mentioned that there's been some de-growth in that business. So can you please elaborate a bit more what's the reasons behind that?

Mohan Goenka, Wholetime Director

In Africa also this de-growth has been due to the balms and no particular reason, I think one of the markets particularly Kenya, there has been some de-growth because of some overstocking, otherwise there has not been that's the only

Nitin Mathur, Analyst

Sure. And just the third question is on Russia, earlier there were some issues around fake products in Russia. So has the situation improved now or has it deteriorated from where we were six months back?

Mohan Goenka, Wholetime Director

No, nothing has improved because this quarter also we have seen a decline of almost 25%. So Russia I don't have a clear picture for Russia honestly if you ask me.

Nitin Mathur, Analyst

Okay. And how big is the Russian business now?

Mohan Goenka, Wholetime Director

Russian business should be about 5% of the international business.

Nitin Mathur, Analyst

Yeah, fair enough. All right sir. Thanks a lot and all the best.

Mohan Goenka, Wholetime Director

Thank you.

Operator

Thank you. Next question from the line of Prashant Kutty from Emkay Global. Please go ahead.

Pritesh Chheda, Analyst

This is Pritesh, my questions have been answered. Thank you.

Operator

Thank you. Next question from the line of Abneesh Roy from Edelweiss. Please go ahead.

Abneesh Roy, Analyst

Sorry, a few follow up questions, one was this Zandu ayurvedic clinic, so what's the plan there, how much we will be spending and this is in the listed entity?

No, we don't have any immediate plan of Zandu ayurvedic clinics.

Abneesh Roy, Analyst

We haven't opened sir?

Mohan Goenka, Wholetime Director

No, no we haven't opened any clinic.

Abneesh Roy, Analyst

Okay. Sir, second one was, on the two, three years strategy which you were sharing with us, you said there will be a marked increase in terms of new product development. So and versus the last two, three years or lesser. So what's the reason behind this strategy shift and will you focus on decreasing the impact of seasonality. Will that be one of the reasons for the strategy change?

Mohan Goenka, Wholetime Director

No, because what -- we haven't done too many launches in the last two, three years. So I think there is a scope to expand the current portfolio. And also some of the key brands we are seeing that the growth is now come to a level of 10%, 12%. So it's time for us to launch some new extensions in the power brands only.

Abneesh Roy, Analyst

And these will be differentiated products or the idea will be to take the strong brands into maybe big categories but which are fluttered?

Mohan Goenka, Wholetime Director

No, it will be a mix strategy. So like we launched face wash, which is a cluttered market, but we are riding on Boroplus. So then it would be a mix, some would be new innovation and some would be just riding on the brand names.

Abneesh Roy, Analyst

Sir, international Bangladesh and GCC have recorded very strong growth. So GCC anything specific, is it too much of stocking in the trade or is it some new product 100% growth. And similarly Bangladesh 25% is the overall growth in Bangladesh now reviving or is it because we have launched new products and some variants there?

Mohan Goenka, Wholetime Director

No, so now we are going focus -- we are focusing on these two markets in particularly. So that is one of the key reasons for growth.

And we haven't launched any new brands in these markets. Basically, the growth is lead by Fair and

Abneesh Roy, Analyst

Right, sir. Okay, sir. Thank you.

Mohan Goenka, Wholetime Director

Thank you.

Operator

Thank you. . Next question from the line of (inaudible) from Elara Capital. Please go ahead.

Unidentified Participant

Hi, sir. Just wanted to know, what will be the approximate break-up of international sales, you said Bangladesh is about 25%. So how does it stack up right now?

Mohan Goenka, Wholetime Director

How much, sorry?

Unidentified Participant

Just a broad break-up of the international business revenues in geography wise, I think you gave Bangladesh is about 25% odd.

Mohan Goenka, Wholetime Director

Right.

Unidentified Participant

So just wanted a broad break-up, how it is -- the overall business?

Mohan Goenka, Wholetime Director

So CIS is roughly about 5%, SAARC is about -- SAARC including Bangladesh is roughly about 40%, GCC is also 40%. And Africa is roughly about 7%.

Unidentified Participant

So, sir, I mean, since there have been lot of problems with the CIS business, so incrementally as the contribution is coming down

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Right.

Unidentified Participant

It should not affect overall international business revenues' growth basically.

Mohan Goenka, Wholetime Director

Absolutely.

Unidentified Participant

20%, 25% should be a consistent growth rate for us.

Mohan Goenka, Wholetime Director

Absolutely. But the only difference is because CIS, we sell Boroplus --

Unidentified Participant

Yeah.

Mohan Goenka, Wholetime Director

So margins are higher in Boroplus compared to the other brands. So the margins might -- the margins get affected because of that.

Unidentified Participant

Okay, okay. So the primary products that we sell in international business is mostly Fair and Handsome and Boroplus, right?

Mohan Goenka, Wholetime Director

And Navratna oil.

Unidentified Participant

Okay. So Navratna also has a good acceptability here.

Mohan Goenka, Wholetime Director

Yeah, in SAARC and GCC.

Okay, okay, okay.

Mohan Goenka, Wholetime Director

Yeah.

Unidentified Participant

Fine, sir. Thanks a lot.

Mohan Goenka, Wholetime Director

Thank you.

Operator

Thank you. As there are no further questions, I would now like to hand over the floor back to Mr. Aniruddha Joshi for closing comments. Thank you.

Aniruddha Joshi, Analyst

Thanks, Chidresu. On behalf of Anand Rath Research, we thank all the participants, as well as the management team of Emami. We thank you, Mohanji, as well as the Rajeshji. Now I hand over to Mr. Mohan Goenka for his closing comments. Thanks and over to you, Mohanji.

Rajesh Sharma, Associate Vice President- Accounts & Finance

Hi Aniruddh. Rajesh here. Thank you organizing this call and I thank all the participants for patiently listening to us. Thank you.

Mohan Goenka, Wholetime Director

Thank you.

Operator

Thank you. On behalf of Anand Rath Research, that concludes this conference call. Thank you for joining us. You may now discon